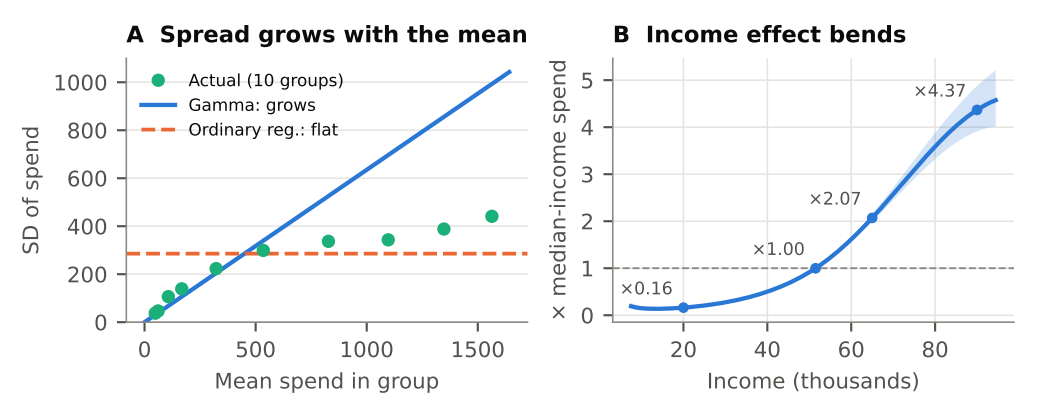
A Spread grows with the mean
Actual (10 groups)
Gamma: grows
Ordinary reg.: flat
SD of spend
Mean spend in group
0
200
400
600
800
1000
0
500
1000
1500
B Income effect bends
× median-income spend
Income (thousands)
×0.16
×1.00
×2.07
×4.37
0
1
2
3
4
5
20
40
60
80